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Case Number: 25STCV36990 Hearing Date: July 28, 2026 Dept: 734

This

is a fraudulent transfer action against a wife and husband by a judgment creditor of the husband.

Defendants Alex Nerush and Chloe Reihani

move to quash the deposition subpoena served upon five financial institutions.

TENTATIVE RULING

Defendants

Alex Nerush and Chloe Reihani's motion to quash the deposition subpoena served upon five financial institutions is DENIED. However, the Court will limit the temporal scope of the subpoenas to October 18, 2024.

Defendants'

request for sanctions is DENIED. The Court does not find that the motion was opposed in bad faith or without substantial justification or that one or more of the requirements of the subpoena was oppressive. (Code Civ. Proc. § 1987.2(a).)

ANALYSIS

Motion To Quash Deposition Subpoena

Discussion

The Court has

reviewed the moving, opposing and reply briefs filed by the parties, but only addresses the points which the Court deems to be material to the disposition of this motion.

Defendants Alex Nerush and Chloe Reihani move to quash the following deposition subpoena served upon five financial institutions:

1. Business Records Subpoena to 1st

Century Bank (a division of MidFirst Bank), issued February 2, 2026 (production date March 13, 2026); 2. Business Records Subpoena to Bank of Hope, issued February 2, 2026 (production date March 13, 2026); 3. Business Records Subpoena to E*Trade Securities LLC, issued February 2, 2026 (production date March 13, 2026); 4. Deposition Subpoena for Personal Appearance and Production of Business Records directed to JPMorgan Chase Bank, N.A., issued February 2, 2026 (deposition date March 13, 2026); and 5. Deposition Subpoena for Personal Appearance and Production of Business Records directed to J.P. Morgan Securities LLC, issued February 2, 2026 (deposition date March 17, 2026).

Each subpoena demands records dating back to November 1, 2022. The subpoenas collectively demand: (a) All account records, statements, and correspondence relating to Mr. Nerush personally; (b) All account records, statements, and correspondence relating to Ms. Reihani personally; (c) All records relating to the Stratford Circle QPRT; (d) All records relating to at least nine business entities: AN Properties, LLC; AN @ 1609 Veteran, LLC; AN @ Wilshire, LLC; AN @ Casa San Luis, LLC; AN @ Bennett, LLC; AN @ 5025 San Jacinto, LLC; AN @ Handley Oaks, LLC; AN @ Courtyard, LLC; and the account ending in 0264 at E*Trade; (e) All records relating to at least ten specific real properties located in Dallas, Texas, none of which has any connection to the Stratford Circle Property, the Guaranty, or the challenged QPRT transfer; (f) All records relating to specific JPMorgan accounts including checking, brokerage, margin, loan, and line of credit accounts spanning the entirety of Mr. Nerush's financial relationship with the institution; and (g) All communications between Mr. Nerush, Ms. Reihani, and any employee of each respective institution.

Defendants argue that Civil Code § 3295 bars all financial discovery prior to entry of a liability verdict and court order. Defendants also argue that the constitutional right to privacy bars the subpoenas as to Defendants and non-party business entities.

Defendants also argue that the subpoenas are overbroad and disproportionate under Code Civ. Proc. § 2017.020.

Plaintiff also argues that Defendants

failed to provide a separate statement.

Plaintiff argues that a First Amended

Complaint was filed after this motion was filed, and the relevance of the business records sought are apparent from the allegations of the 1AC. As a judgment debtor, Nerush cannot invoke privacy to categorically prevent reasonable inquiry into financial transactions and assets relevant to enforcement. Plaintiff argues that the requested documents are necessary to prove insolvency and fraudulent intent.

Plaintiff also argues that the asserted

privacy interests do not outweigh the relevance of the documents.

Plaintiff also argues that overbreadth

and proportionality objections do not justify quashing the subpoenas wholesale.

Civ. Proc. Code, § 1987.1(a) provides:

“If a subpoena requires the attendance of a witness or the production of . . . documents . . . at the taking of a deposition, the court, upon motion . . . may make an order . . . directing compliance with it upon those terms or condition as the court shall declare. . . .” (Civ. Proc. Code, § 1987.1.)

§ 1987.1 does not contain a meet and confer requirement.

However, case

law has read a good cause requirement as to requests for production of documents from a nonparty. (*Calcor Space Facility v. Superior Court* (1997) 53 Cal.App.4th 216, 223-24.)

“Although the scope of civil discovery is broad, it is not limitless.”

(*Calcor Space Facility, Inc. v. Superior Court* (1997) 53 Cal.App.4th 216, 223 [61 Cal. Rptr. 2d 567].) Discovery devices must “be used as tools to facilitate litigation rather than as weapons to wage litigation.” (*Id.* at p. 221.) A party seeking to compel discovery must therefore “set forth specific facts showing good cause justifying the discovery sought.” (§ 2031.310, subd. (b)(1); see *Calcor Space Facility, Inc. v. Superior Court*, *supra*, 53 Cal.App.4th at p. 223.) To establish good cause, a discovery proponent must identify a disputed fact that is of consequence in the action and explain how the discovery sought will tend in reason to prove or disprove that fact or lead to other evidence that will tend to prove

or disprove the fact.

(Digital Music News LLC v. Superior Court
(2014) 226 Cal.App.4th 216, 224 (bold emphasis and underlining added), overruled
on other grounds in Williams v. Superior
Court (2017) 3 Cal.5th 531, 557, n. 8.)

Although the scope
of civil discovery is broad, it is not limitless. . . . [Former] Section 2031, subdivision (l), which
applies to document production requests served on a party, requires a [*224]
party seeking to compel such production to “set forth specific facts showing good cause justifying the discovery
sought by the inspection demand” (Italics in original.) . . .

In law and motion practice, factual evidence is supplied to the court by way of
declarations. Thiem provided argument but no evidence at all to permit the court
to conclude the material sought was “admissible in evidence or appear[ed] reasonably
calculated to lead to the discovery of admissible evidence.” The only justification for the request is contained
in Thiem’s “Statement Pursuant to Rule 335(a)” and in a document entitled “Combined
Opposition to Calcor Space Facility, Inc.’s
Motion for Protective Order and Reply Brief in Support of Motion to Compel
Calcor Space Facility, Inc. to Comply with
Deposition Subpoena for Production of Business Documents.” Neither document is verified,
and thus they do not constitute evidence.

Even were we to ignore that the statements purporting to justify an order compelling
Calcor to produce its documents and other materials are unverified, they still fail.
There is an absence of specific facts
relating to each category of materials sought to be produced; the justifications
offered for the production are mere generalities. The very vice of the
subpoena’s promiscuity is well illustrated by Thiem’s inability to provide focused, fact-specific justifications for its demands.
The noted generality of the subpoena’s
definitions, instructions and categories which
merely add up to a demand Calcor produce everything in its possession having anything
to do with gun mounts, precludes Thiem
from demonstrating any particular item or category in fact constitutes or contains
matter which “is itself admissible in evidence or appears reasonably calculated
to lead to the discovery of admissible evidence.” (§ 2017, subd. (a).) The purported
justification for imposing this great burden on Calcor necessarily suffers from
the same generality as the subpoena itself.

Although appellate courts have frequently stated “fishing expeditions” are permissible in discovery, there is a limit. As noted in *Gonzalez v. Superior Court* (1995) 33 Cal. App. 4th 1539 [39 Cal. Rptr. 2d 896], “These rules are applied liberally in favor of discovery (*Colonial Life & Accident Ins. Co. v. Superior Court* (1982) 31 Cal. 3d 785, 790), and (contrary to popular belief), fishing expeditions are permissible in some cases.” (Id. at p. 1546.) However, early in the development of our discovery law our Supreme Court recognized the limits on such “fishing expeditions.” In [*225] *Greyhound Corp. v. Superior Court* (1961) 56 Cal. 2d 355 [15 Cal. Rptr. 90, 364 P.2d 266], the seminal case in California civil discovery, the court gave examples of improper “fishing” : “The method of ‘fishing’ may be, in a particular case, entirely improper (i.e., insufficient identification of the requested information to acquaint the other party with the nature of information desired, attempt to place the burden and cost of supplying information equally available to both solely upon the adversary, placing more burden upon the adversary than the value of the information warrants, etc.). Such improper methods of ‘fishing’ may be (and should be) controlled by the trial court under the powers granted to it by the statute.” (Id. at pp. 384-385.) . . .

(*Calcor Space Facility v. Superior Court* (1997) 53 Cal.App.4th 216, 223-25 [bold emphasis and underlining added].)

First, while Cal. Rules of Court, Rule 3.1345(a)(5) requires a separate statement be filed with a motion to quash the production of documents at a deposition, the Court will proceed to address the motion on the merits despite the lack of a separate statement.

Here, although the subpoenas were served prior to the filing of the First Amended Complaint, the Court will consider the allegations of the 1AC because Plaintiff could simply re-serve the subpoenas in light of the 1AC. Moreover:

If a plaintiff can file one legitimate claim, that plaintiff then has access to the full panoply of statutory discovery devices. The scope of allowable discovery is broader than strict relevancy to the issues raised by the pleadings. (Citation omitted.) There are several reasons why the system is structured this way. One such reason is to enable a plaintiff to determine whether there are grounds for amending a complaint to add additional claims. Moreover, in addition to discovery, investigation is always available, even without filing suit. If discovery and investigation develop factual grounds justifying a timely amendment to a pleading, leave to amend must be liberally granted. (See, e.g., *Weil & Brown*, Cal. Practice Guide: Civil Procedure Before Trial, supra, PP 6:638, 6:639.)

(Mabie v. Hyatt (1998) 61 Cal.App.4th 581, 596.)

Here,
the 1AC alleges:

6. To render himself
insolvent prior to the judgment in the DE Lawsuit and attempt to avoid the Claim,
Nerush fraudulently transferred his assets, including (i), on information and belief,
assets held in his accounts (or accounts controlled by him) at Chase Bank, E*Trade,
Bank of Hope, and 1st Century Bank, among others (the “Accounts”), and
(ii) his \$14 million home located at 2140 Stratford Circle, Los Angeles, CA 90077
(the “Property”). Nerush was the sole owner of the Property. Then, on November 12,
2025, with actual intent to commit a fraudulent transfer to prevent GCB from satisfying
its claim, Nerush created the irrevocable Nerush Trust and transferred the Property
to his wife Reihani, as trustee of the Nerush Trust, for no consideration (“House
Transfer”). The House Transfer, and any fraudulent transfers made from the Accounts,
must be set aside.

(1AC, ¶ 6 [bold emphasis added].)

Thus,
4 of the 5 entities upon which subpoenas were served are identified in the 1AC as
sources of funds Defendant Nerush allegedly fraudulently transferred, while the
J.P. Morgan Securities account may be considered “among others.” (1AC, ¶
6.)

In this regard, the subpoenas does not seek evidence of the profits Defendants have wrongfully gained, nor the financial
condition of Defendants in violation of Cal Civ Code § 3295. § 3295 does not preclude discovery of financial information
where it goes to the heart of Plaintiff’s claims and is not solely for the purpose of proving punitive damages. (Rawnsley v.
Superior Court (1986) 183 Cal.App.3d 86, 90-92.)

The
California Supreme Court has held that a compelling
interest or compelling need is not always required in order to discover
private information—the Court must consider the factors articulated in Hill v.
National Collegiate Athletic Assn. (1994)
7 Cal.4th 1 to determine the seriousness of the privacy invasion
and the strength of the countervailing interest required to overcome that invasion.
(Williams v. Superior Court (2017) 3 Cal.5th 531.)

In ruling upon a privacy objection

in the context of discovery, the party asserting a privacy right must establish a legally protected privacy interest. (Williams, supra, 3 Cal.5th at 552.) The party asserting a privacy right must also establish an objectively reasonable expectation of privacy in the given circumstances. (Id.) Further, the party asserting a privacy right must establish a threatened intrusion that is serious. (Id.)

The Court need not proceed to the fourth step of balancing competing interests if all three of the above are not satisfied. (Id. at 555.) If the Court reaches the fourth step, the Court must balance these competing considerations: The party seeking information may raise whatever legitimate and important countervailing interests disclosure serves. (Id. at 552.) The party seeking protection may identify feasible alternatives that serve the same interests or protective measures that would diminish the loss of privacy. (Id.) Courts may not require the party seeking discovery to demonstrate a “compelling state interest” or “compelling need[1]” simply because discovery of any facially private information is sought. (Id. at 556-57.)

The right of privacy in personal

financial information is protected by the California Constitution, but is not absolute and must yield in the furtherance of state interests which outweigh such privacy right. (SCC Acquisitions, Inc. v. Superior Court (2015) 243 Cal. App. 4th 741, 754-55.) Moreover, entities have a lesser privacy right than humans. (Ameri-Medical Corp. v. Workers' Comp. Appeals Bd. (1996) 42 Cal.App.4th 1260, 1287-88.)

While Defendants and the third party entities have an

objectively reasonable expectation of privacy in the financial documents sought, and the threatened intrusion is serious, Plaintiff's interest in seeking such information outweighs these privacy interests. Plaintiff is entitled to trace real property and personal property transfers which a husband and wife may be orchestrating to render Nerush an insolvent judgment debtor. This includes transfers to the third party entities.

In their first cause of action, plaintiffs seek relief on the

ground that Shahan's transfers of the Sherman Oaks properties constitute voidable transfers under section 3439.04, subdivision (a)(1) Under that statute, a transfer of property by a debtor is voidable if the debtor made the transfer “[w]ith actual intent to hinder, delay, or defraud any creditor of the debtor.” Citation omitted.)

“The purpose of the

UVTA is to prevent debtors from placing, beyond the reach of creditors, property that should be made available to satisfy a debt.” (Citation omitted.) In furtherance

of the state's "general policy of protecting creditors from fraudulent transfers, including transfers between spouses," the UVTA applies to property transfers made pursuant to a marital settlement agreement incorporated into a judgment of dissolution. (Citation omitted.)

[*456]

Whether a debtor had

the actual intent to hinder, delay, or defraud a creditor is a question of fact.

(Citations omitted.) Among other so-called "badges of fraud" indicating such intent

(Filip v. Bucurenciu (2005) 129 Cal.App.4th 825, 834 [28 Cal. Rptr. 3d 884]),

the fact finder may consider whether: (1) the debtor made the transfer to an "insider";

(2) the debtor retained possession or control of the property after the transfer;

(3) the debtor had been sued before making the transfer; (4) the debtor removed

or concealed assets; (5) the value of the consideration received by the debtor was

reasonably equivalent to the value of the asset transferred; and (6) the transfer

occurred shortly before or shortly after a substantial debt was incurred (§ 3439.04,

subd. (b)). None of these factors is determinative, and no minimum or maximum number

of factors is required. (Citations omitted.)

(Aghaian v. Minassian (2020)

59 Cal.App.5th 447, 455-56.)

The

Court agrees that the scope of the subpoenas are overbroad insofar as they seek

documents dating back to November 1, 2022. Given that the 1AC alleges at ¶ 3 that

the underlying lawsuit was filed on October 18, 2024 against Nerush in the Delaware

Chancery Court, the Court will limit the period from October 18, 2024—when Nerush

may be deemed to be on notice he was a potential judgment debtor—to the present.

With this temporal

limitation, the Court finds that Plaintiff has good cause for the documents requested.

The motion to

quash is DENIED. However, the Court will limit the temporal scope of the subpoenas

to October 18, 2024.

Defendants'

request for sanctions is DENIED. The Court does not find that the motion was opposed

in bad faith or without substantial justification or that one or more of the requirements

of the subpoena was oppressive. (Code Civ. Proc. § 1987.2(a).)

[1] In this regard, Plaintiff's repeated argument that Defendants must show a compelling need for the discovery is based on authority which has been overruled.